

Crystal-Optech (A)

2Q slightly better; HDD and optics contribution to kick off from 2027; Buy

Reiterate Rating: BUY | PO: 35.00 CNY | Price: 25.24 CNY

2Q results slightly better than expected

2Q results were slightly better than expected, with earnings flattish YoY at CNY278mn. Revenue of CNY1.8bn (+2% QoQ, +14% YoY) came in line with BofAe/consensus, while GM beat BofAe by 4.1ppt at 33.8%, thanks to better scale at Apple.

Mgmt. highlights HDD and optic communication progress

Mgmt. noted that glass substrate for HDD will start small volume ramp up in 2026, and reach a few million units in 2027 and a few hundred million units in 2028. Assuming US\$2 ASP, HDD could generate CNY1.5bn+ revenue in 2028, contributing nearly 15% of total revenue. For the optic business, mgmt. believes filter and micro lens will have a faster progress given equipment tightness across supply chain, while mass volume shipment is expected to kick off from 1H27. In the long term, cooperation with supply chain on glass substrate and waveguide for CPO could bring more upside.

Resilient Apple business; AR glasses await materialization

We expect Apple business to remain resilient, thanks to share gain at IRCF (to reach 50% in 1-2 years from 20-30% currently). Into 2028, we expect the periscope camera to have a 2nd generation design, support Crystal-Optech's prism ASP uplift and gross margin. Mgmt. shared that the production line for reflective waveguide has been completed, and is the sole solution considered by a key customer for FoV over 50-degree models. However, materialization still depends on killer app/application and price performance.

Trim PO to CNY35 on front-loaded opex; reiterate Buy

We cut 2026/27E earnings by 3% each as we factor in higher opex for preparation of new businesses but tweak up 2028E earnings by 2% to reflect a higher contribution from the HDD business vs 0% before. As a result, we lower our PO to CNY35 from CNY37.00 (32x 2H26-1H27E P/E, unchanged). We reiterate our Buy rating.

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	1,030	1,172	1,462	1,780	2,268
EPS	0.74	0.84	1.05	1.28	1.63
EPS Change (YoY)	71.6%	13.8%	24.7%	21.8%	27.4%
Consensus EPS (Visible Alpha)			1.03	1.29	1.94
Dividend / Share	0.30	0.20	0.74	0.90	1.14
Free Cash Flow / Share	0.62	0.43	-0.48	0.65	1.06
Valuation (Dec)					
P/E	34.1x	29.9x	24.0x	19.7x	15.5x
Dividend Yield	1.2%	0.8%	2.9%	3.6%	4.5%
EV / EBITDA*	22.3x	18.9x	15.6x	12.3x	10.0x
Free Cash Flow Yield*	2.5%	1.7%	-1.9%	2.6%	4.2%

* For full definitions of *IQmethod*SM measures, see page 7.

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Refer to important disclosures on page 8 to 10. Analyst Certification on page 5. Price Objective Basis/Risk on page 5.

25 August 2026

Equity

Key Changes

(CNY)	Previous	Current
Price Obj.	37.00	35.00
2026E EPS	1.08	1.05
2027E EPS	1.32	1.28
2028E EPS	1.61	1.63
2026E EBITDA (m)	2,162.3	2,241.4
2027E EBITDA (m)	2,658.7	2,839.6
2028E EBITDA (m)	3,217.2	3,498.0

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Stock Data

Price	25.24 CNY
Price Objective	35.00 CNY
Date Established	25-Aug-2026
Investment Opinion	C-1-7
52-Week Range	21.88 CNY-44.30 CNY
Mrkt Val / Shares Out (mn)	5,220 USD / 1,390.6
Market Value (mn)	35,100 CNY
Average Daily Value (mn)	202.26 USD
Free Float	79.0%
BofA Ticker / Exchange	XMKAF / SHZ
Bloomberg / Reuters	002273 CH / 002273.SZ
ROE (2026E)	13.9%
Net Dbt to Eqty (Dec-2025A)	-13.9%

Acronyms

IRCF: infrared cut-off filter

AR: augmented reality

ASP: average selling price

HDD: hard drive disk

CPO: co-packaged optics

FoV: field of view

iQprofileSM Crystal-Optech (A)

Key Income Statement Data (Dec)

(CNY Millions)

	2024A	2025A	2026E	2027E	2028E
Sales	6,278	6,928	8,443	9,820	11,893
Gross Profit	1,952	2,168	2,781	3,276	4,020
Sell General & Admin Expense	(451)	(500)	(596)	(672)	(783)
Operating Profit	1,035	1,197	1,586	1,938	2,491
Net Interest & Other Income	141	133	86	108	108
Associates	NA	NA	NA	NA	NA
Pretax Income	1,176	1,330	1,672	2,046	2,599
Tax (expense) / Benefit	(133)	(160)	(214)	(245)	(312)
Net Income (Adjusted)	1,030	1,172	1,462	1,780	2,268
Average Fully Diluted Shares Outstanding	1,391	1,391	1,391	1,391	1,391

Key Cash Flow Statement Data

Net Income	1,030	1,172	1,462	1,780	2,268
Depreciation & Amortization	538	657	655	902	1,007
Change in Working Capital	(130)	(295)	(513)	(174)	(395)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	350	(188)	(567)	0	0
Cash Flow from Operations	1,787	1,347	1,038	2,508	2,880
Capital Expenditure	(924)	(747)	(1,700)	(1,600)	(1,400)
(Acquisition) / Disposal of Investments	(86)	(203)	52	0	0
Other Cash Inflow / (Outflow)	66	(718)	(78)	0	0
Cash Flow from Investing	(945)	(1,668)	(1,726)	(1,600)	(1,400)
Shares Issue / (Repurchase)	20	5	181	0	0
Cost of Dividends Paid	(578)	(418)	(302)	(1,023)	(1,246)
Cash Flow from Financing	(715)	(437)	409	(1,023)	(1,246)
Free Cash Flow	863	600	(662)	908	1,480
Net Debt	(1,974)	(1,340)	(396)	(281)	(514)
Change in Net Debt	(198)	782	827	115	(233)

Key Balance Sheet Data

Property, Plant & Equipment	4,460	4,349	6,051	6,775	7,194
Other Non-Current Assets	2,988	3,076	3,442	3,416	3,391
Trade Receivables	1,110	1,063	1,906	2,186	2,858
Cash & Equivalents	2,062	1,458	1,043	928	1,161
Other Current Assets	1,060	1,733	2,168	2,294	2,627
Total Assets	11,680	11,679	14,610	15,598	17,230
Long-Term Debt	0	0	488	488	488
Other Non-Current Liabilities	226	224	317	317	317
Short-Term Debt	88	118	159	159	159
Other Current Liabilities	1,982	1,723	2,161	2,392	3,002
Total Liabilities	2,296	2,064	3,125	3,356	3,967
Total Equity	9,383	9,614	11,485	12,242	13,264
Total Equity & Liabilities	11,680	11,679	14,610	15,598	17,230

iQmethodSM - Bus Performance*

Return On Capital Employed	10.2%	11.1%	12.7%	13.6%	16.3%
Return On Equity	11.2%	12.3%	13.9%	15.0%	17.8%
Operating Margin	16.5%	17.3%	18.8%	19.7%	20.9%
EBITDA Margin	25.1%	26.8%	26.5%	28.9%	29.4%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	1.7x	1.1x	0.7x	1.4x	1.3x
Asset Replacement Ratio	1.7x	1.2x	2.7x	1.8x	1.4x
Tax Rate (Reported)	11.3%	12.0%	12.8%	12.0%	12.0%
Net Debt-to-Equity Ratio	-21.0%	-13.9%	-3.4%	-2.3%	-3.9%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of iQmethodSM measures, see page 7.

Company Sector

IT Hardware

Company Description

Crystal Optech, founded in 2002, is a key upstream optic supplier focusing on IRCF, optic cover glass, prism and biometric sensing components. Apple is its largest smartphone customer, followed by Android brands and module makers. Crystal also supplies waveguide lenses for AR glasses. The company entered the auto market in 2021 and focuses on LiDAR cover and AR-HUD. Crystal is also actively expanding into AI server related areas.

Investment Rationale

We have a Buy rating on Crystal Optech, on (1) multi-year content value/share gain at iPhone cameras, and (2) rapid expansion in auto with delivery in HUD and LiDAR cover. AR and AI server related optics may bring more upside in coming years.

Stock Data

Price to Book Value 3.1x

Exhibit 1: GM beat BofAe by 4.1ppt at 33.8%, thanks to better scale at Apple

2Q26 earnings review

(CNY mn)	2Q25	1Q26	2Q26	QoQ %	YoY %	BofAe	Diff (%)	Consensus	Diff (%)
Revenue	1,538	1,721	1,757	2.1%	14.3%	1,757	0.0%	1,734	1.4%
Gross profit	475	507	595	17.2%	25.1%	523	13.7%	n.a.	n.a.
Gross margin (%)	30.9%	29.5%	33.8%	4.4	2.9	29.8%	4.1	n.a.	n.a.
Operating Income	262	240	279	16.2%	6.5%	259	7.5%	269	3.7%
Operating margin (%)	17.0%	13.9%	15.9%	1.9	-1.2	14.8%	1.1	15.5%	0.4
Pre-tax Income	324	276	319	15.6%	-1.4%	300	6.4%	308	3.6%
Pre-tax margin (%)	21.0%	16.0%	18.1%	2.1	-2.9	17.1%	1.1	17.8%	0.4
Net Income	280	247	278	12.6%	-0.8%	259	7.2%	263	5.6%
Net margin (%)	18.2%	14.3%	15.8%	1.5	-2.4	14.7%	1.1	15.2%	0.6
EPS (CNY)	0.20	0.18	0.20	12.6%	-0.8%	0.19	7.2%	0.19	5.6%

Source: Company data, BofA Global Research estimates, Bloomberg consensus

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Exhibit 2: We cut 2026/27E earnings by 3% each as we factor in higher opex for preparation of new businesses, but tweak up 2028E

Earnings estimate change, 2026-28E

(CNY mn)	2026E			2027E			2028E		
	New	Old	Diff (%)	New	Old	Diff (%)	New	Old	Diff (%)
Sales	8,443	8,514	-0.8	9,820	9,802	0.2	11,893	11,434	4.0
Gross Profit	2,781	2,752	1.1	3,276	3,186	2.8	4,020	3,785	6.2
Gross margin	32.9%	32.3%	0.6	33.4%	32.5%	0.9	33.8%	33.1%	0.7
Operating income	1,586	1,634	-2.9	1,938	1,991	-2.7	2,491	2,449	1.7
Operating margin	18.8%	19.2%	-0.4	19.7%	20.3%	-0.6	20.9%	21.4%	-0.5
Pretax income	1,672	1,721	-2.9	2,046	2,102	-2.7	2,599	2,560	1.5
Pretax margin	19.8%	20.2%	-0.4	20.8%	21.4%	-0.6	21.9%	22.4%	-0.5
Net income	1,462	1,503	-2.7	1,780	1,829	-2.7	2,268	2,233	1.5
Net margin	17.3%	17.7%	-0.3	18.1%	18.7%	-0.5	19.1%	19.5%	-0.5
EPS (CNY)	1.05	1.08	-2.7	1.28	1.32	-2.7	1.63	1.61	1.5

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 3: Our 2026-28E earnings estimates are largely in line with consensus

BofAe vs. consensus, 2026-28E

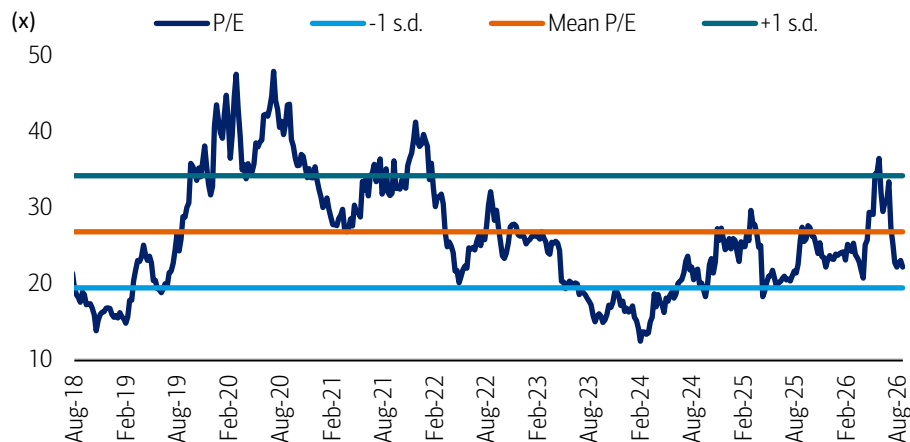
(CNY mn)	2026E			2027E			2028E		
	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)
Sales	8,443	8,475	-0.4	9,820	10,124	-3.0	11,893	12,112	-1.8
Gross Profit	2,781	2,679	3.8	3,276	3,243	1.0	4,020	3,963	1.4
Gross margin	32.9%	31.6%	1.3ppt	33.4%	32.0%	1.3ppt	33.8%	32.7%	1.1ppt
Operating income	1,586	1,623	-2.3	1,938	2,004	-3.3	2,491	2,549	-2.3
Operating margin	18.8%	19.1%	-0.4ppt	19.7%	19.8%	-0.1ppt	20.9%	21.0%	-0.1ppt
Pretax income	1,672	1,674	-0.1	2,046	2,061	-0.7	2,599	2,591	0.3
Pretax margin	19.8%	19.7%	0.1ppt	20.8%	20.4%	0.5ppt	21.9%	21.4%	0.5ppt
Net income	1,462	1,471	-0.6	1,780	1,812	-1.7	2,268	2,281	-0.6
Net margin	17.3%	17.4%	0.0ppt	18.1%	17.9%	0.2ppt	19.1%	18.8%	0.2ppt
EPS (CNY)	1.05	1.06	-0.6	1.28	1.30	-1.7	1.63	1.64	-0.6

Source: BofA Global Research estimates, Bloomberg consensus

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Exhibit 4: The stock trades at below historical average

Crystal Optech's 1-year forward P/E trend



Source: Company data, BofA Global Research

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Exhibit 5: We model 25% 2026-28E earnings CAGR

Crystal's quarterly income statement, 2025-28E

CNY mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Sales	1,482	1,538	2,103	1,805	1,721	1,757	2,646	2,319	2,039	2,018	3,103	2,659	6,928	8,443	9,820	11,893
Gross profit	414	475	736	542	507	595	969	711	617	615	1,185	859	2,168	2,781	3,276	4,020
Operating profit	212	262	480	244	240	279	682	385	309	264	867	498	1,197	1,586	1,938	2,491
Pretax profit	254	324	547	206	276	319	712	365	358	313	897	478	1,330	1,672	2,046	2,599
Net income	221	280	483	189	247	278	622	316	310	271	784	415	1,172	1,462	1,780	2,268
EPS (CNY)	0.16	0.20	0.35	0.14	0.18	0.20	0.45	0.23	0.22	0.19	0.56	0.30	0.84	1.05	1.28	1.63
Margins																
Gross margin	27.9%	30.9%	35.0%	30.0%	29.5%	33.8%	36.6%	30.7%	30.2%	30.5%	38.2%	32.3%	31.3%	32.9%	33.4%	33.8%
OP margin	14.3%	17.0%	22.8%	13.5%	13.9%	15.9%	25.8%	16.6%	15.1%	13.1%	27.9%	18.7%	17.3%	18.8%	19.7%	20.9%
Pretax margin	17.1%	21.0%	26.0%	11.4%	16.0%	18.1%	26.9%	15.7%	17.6%	15.5%	28.9%	18.0%	19.2%	19.8%	20.8%	21.9%
Net margin	14.9%	18.2%	23.0%	10.5%	14.3%	15.8%	23.5%	13.6%	15.2%	13.4%	25.3%	15.6%	16.9%	17.3%	18.1%	19.1%
QoQ																
Sales	-5%	4%	37%	-14%	-5%	2%	51%	-12%	-12%	-1%	54%	-14%				
Gross profit	-11%	15%	55%	-26%	-6%	17%	63%	-27%	-13%	0%	93%	-28%				
OP profit	60%	24%	83%	-49%	-2%	16%	145%	-44%	-20%	-14%	229%	-43%				
Pretax profit	28%	28%	69%	-62%	34%	16%	123%	-49%	-2%	-12%	186%	-47%				
Net income	31%	27%	72%	-61%	30%	13%	124%	-49%	-2%	-13%	190%	-47%				
YoY																
Sales	10%	17%	2%	15%	16%	14%	26%	28%	19%	15%	17%	15%	10%	22%	16%	21%
Gross profit	28%	16%	-2%	16%	22%	25%	32%	31%	22%	4%	22%	21%	11%	28%	18%	23%
OP profit	58%	17%	-12%	84%	13%	7%	42%	58%	29%	-5%	27%	29%	16%	32%	22%	29%
Pretax profit	25%	15%	11%	4%	9%	-1%	30%	78%	30%	-2%	26%	31%	13%	26%	22%	27%
Net income	24%	13%	11%	12%	12%	-1%	29%	67%	26%	-2%	26%	31%	14%	25%	22%	27%

Source: Company data, BofA Global Research estimates

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Price objective basis & risk

Crystal-Optech (XMKAF)

We set our PO at CNY35, on 32x 2H26-1H27E P/E. 32x is close to +1SD of Crystal's historical trading average of 27x. We view 32x as supported by Crystal's solid earnings expansion of 24% CAGR in 2025-28E, as well as its strong position in Apple/AR glasses supply chain and expansion into AI server related optics.

Downside risks: (1) slower-than-expected penetration at periscope and 3D sensing lens, (2) worse-than-expected demand at consumer electronics, (3) slower-than-expected HUD/LiDAR penetration at auto, and (4) intensified competition.

Upside risks: (1) faster-than-expected penetration at periscope and 3D sensing lens, (2) better-than-expected demand at consumer electronics, (3) faster-than-expected HUD/LiDAR penetration at auto, and (4) easing competition.

Analyst Certification

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao



APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCE	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGf	992 HK	Robert Cheng
	Lenovo Group	LNVGy	LNVGy US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Robert Cheng
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPGB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PWWIF	8069 TT	Doris Kao
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTFG	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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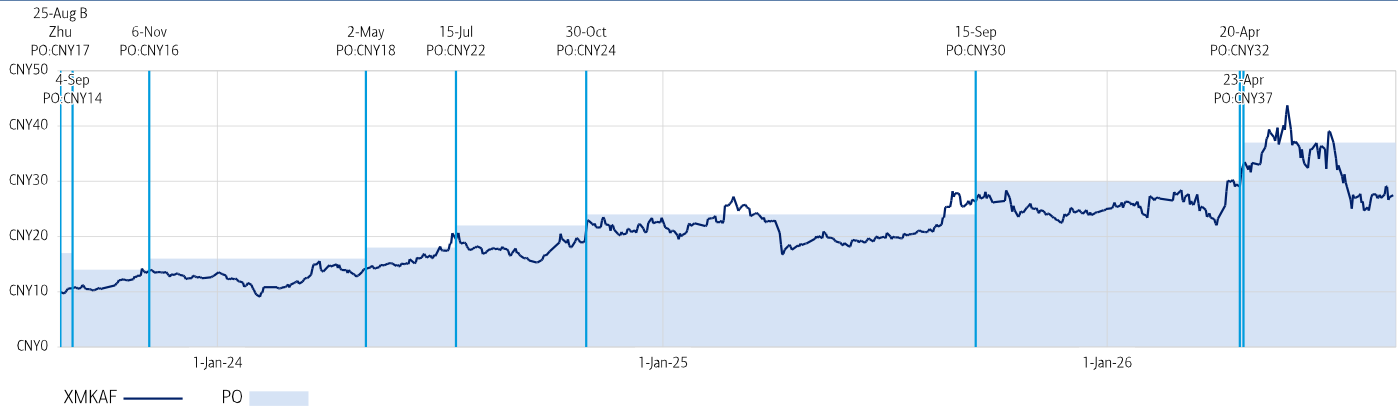
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Crystal-Optech (XMKAF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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